to western principles and that ‘natives will not trust natives’. That most Europeans were firmly persuaded of Indian incapacity was obvious. This view derived partly from conviction as well as from a fear of injury to European interests.

In part, the prejudice was not entirely misplaced, because Indian banking institutions operated in an atmosphere of gloom, distrust, and suspicion. Managers and Directors of the Indian banks were often dishonest and wild speculation flourished. The absence of well-defined and recognized standards, an appropriate ethic, and the absence of a banking milieu made matters worse. Indian depositors had suffered huge losses from trusting Indian banks and Sorabji realized that the distrust in indigenous banking institutions would not be easily overcome. Apart from dishonesty the other stumbling block was inexperience and the failure to understand the intricacies of modern banking. Added to this were the political and economic advantages enjoyed by the foreign banks, further injuring the interests of the Indian banks.

By the time Sorabji was born in 1881 more than forty banks, starting from the Bank of Hindustan floated around 1770, had come and gone. But the three Presidency Banks had survived the financial crisis of 1832–33 and 1857, as well as the upheavals of 1863–66. In nineteenth century India, public deposits and money circulation were extremely low. The Europeans transferred their surplus savings and investments back to England and the local population preferred to invest in land. Banking profits were high owing to high interest rates which prevailed due to the risk and difficulty in obtaining securities of an unquestionable character.

When the Central Bank was established in 1911, Sorabji was not only aware of the difficulties in launching his new venture, but he also must have been equally aware of the major reasons for the discreditable record of many Indian banks of the time. It soon became obvious to him that the growth of indigenous banking depended largely on the active support of the public whose cooperation and confidence was indispensable, particularly when Indian banking was in its nascent stage and struggling to establish itself. As Sorabji was to point out later: ‘I am not unaware of the rapid emergence at the present day of numberless banks throughout the length and breadth of the country: but I tell you candidly that to my mind such